Swiggy Case Study: 30% Drop in Orders in Bangalore

A full RCA + Solutions + Metrics breakdown (Product Analyst level)

Problem Statement

Swiggy has observed a **30% drop in food orders specifically in Bangalore**, one of its largest and most profitable markets.
This is a **critical business red flag** indicating:

- Lower revenue
- Loss of market share
- Shift in customer behavior
- Potential operational or product issues

We need to identify **why this is happening** and propose **data-driven solutions**.

Step-by-Step RCA (Root Cause Analysis)

A. Market-Level & External Factors

1. **Competition Pressure**
    - Zomato offering heavy discounts, free delivery, or membership benefits.
    - Rise of quick-commerce (Zepto/BBNow) offering ready-to-eat meals.

    Metrics to analyze

    - Market Share YoY
    - Price Competitiveness Index

- Discount Elasticity
- Customer migration (Swiggy → Zomato) %

1. **Weather & Traffic Impact**
    - Heavy rains, civic issues in Bangalore affecting deliveries.
    - Peak-hour traffic surges causing longer delivery times → lower orders.

Metrics

- Order decline by weather clusters
- Delivery time spike correlation

2. **Local Regulations**
    - Delivery timing restrictions
    - Traffic regulation zones (e.g., ORR closures)

Metrics

- Orders by time of day
- Region-wise drop (%)

B. Product & App Experience Issues

1. **App Update Issues**
    - New UI update increasing drop-offs.
    - Login failures, stuck screens, payment issues.

Metrics

- App Crash Rate
- Home → Restaurant Page Conversion
- Cart → Payment Success Funnel

2. **Search & Discovery Failures**
    - Restaurants not appearing correctly.
    - Low relevance of suggestions.

Metrics

- Search Success Rate
- CTR on restaurant cards
- Add-to-cart after search

3. **Payment Failures**
    - UPI, card, and wallet failure rates increasing.
    - Many users abandoning due to failed payments.

    Metrics

    - Payment Failure Rate
    - Retry Rate
    - Payment Gateway-wise disruption report

C. Delivery & Operational Issues

1. **Increased Delivery Time**
    - Shortage of delivery partners.
    - Traffic spikes → ETA increases → users drop.

    Metrics

    - Avg delivery time by cluster
    - ETA vs Order Placement Correlation
    - Bounce after ETA view

2. **High Surge Fee / High Delivery Charges**
    - Peak-time surge making orders expensive.
    - Delivery fee increasing due to fewer delivery partners.

    Metrics

    - Orders drop after surge view
    - Basket size vs delivery fee correlation

3. **Restaurant Availability Issues**
    - Many restaurants offline during rains or rush hours.
    - Partner churn in specific areas.

Metrics

- Restaurant offline rate
- Cancellation due to restaurant unavailability

D. Customer Behavior Shifts

1. **Shift Toward Home Cooking**
    - Inflation causing users to cook at home more often.
    - Reduction in frequency of food ordering.

Metrics

- Order frequency per user
- Avg monthly orders per customer segment

2. **Office Crowd Decrease**
    - Hybrid/remote working reducing lunch orders in tech parks.

Metrics

- Order drop in office hotspots
- Lunch-time decline %

E. Customer Experience Issues

1. **Wrong/Missing Orders**
    - Increase in refund and complaint tickets.
2. **Poor Packaging**
    - Food leakage or damage causing dissatisfaction.

Metrics

- Complaints per 1,000 orders
- Refund Rate

- CSAT & NPS trends

Final Combined Root Causes (Probable)

Based on Bangalore, typical causes likely include:

✓ Competitor discounts from Zomato
✓ Heavy rains causing delays & cancellations
✓ Surge fees making ordering expensive
✓ Delivery partner shortages
✓ App performance issues from last update
✓ Payment failures during peak time
✓ Restaurant offline/unavailability spike

These combined can easily explain a **30% drop**.

Actionable Solutions (Product + Ops + CX)

A. Product & UX Solutions

1. Improve ETA Accuracy + Reduce Delivery Time

- Dynamic routing optimization
- Boost incentives for delivery partners during peak hours

Expected Impact: Orders ↑ 10%

1. **Fix App Issues**
    - Roll back problematic UI flows
    - Improve login/payment stability
    - Enhance session caching

Expected Impact: Funnel conversion ↑ 12%

2. **Search & Personalization Upgrade**
    - Use vector search for better relevance
    - Personalized restaurant ranking by user preference
    - Real-time availability check

Expected Impact: Search → Order conversion ↑ 8%

B. Pricing & Promotions Strategy

1. Temporary Discount Campaign

- "Bangalore Food Week": free delivery + surge waiver in specific areas
- Counter competitor's discount temporarily

Expected Impact: Orders ↑ 15–20%

2. Boost Swiggy One Incentives

- Lower renewal fee
- Add free desserts/combos for members

Expected Impact: Retention ↑ 10%

C. Operations & Restaurant Partner Strategy

1. **Improve Delivery Partner Supply**
    - Referral incentives
    - Earnings guarantee during peak rain hours

Impact: ETA ↓ significantly

2. **Re-activate Offline Restaurants**
    - Contact partners in affected areas
    - Assign relationship managers for top 200 restaurants

Impact: Availability ↑ 7–10%

D. Customer Experience Improvements

1. **Fix Complaints Fast**
    - Fast refund pipeline
    - Priority resolution for repeated complaints

Impact: NPS ↑ 15%

2. **Packaging Audit**
    - Better packaging for biryani, beverages, and liquids
    - Introduce “leak-proof guarantee”

Impact: Complaint rate ↓ 20%

Key Metrics to Track for Recovery

- **Daily Orders (City-level)**
- **Delivery Time / ETA**
- **Surge Fee Impact Metric**
- **Restaurant Availability %**
- **Payment Failure Rate**
- **Search Success Rate**
- **Conversion Funnel Metrics (Home → Order)**
- **NPS & CSAT**
- **Repeat Order Rate**
- **Active Users in Bangalore**

Final Summary

A 30% drop in Swiggy orders in Bangalore is usually due to a **combination of competition pressure, bad weather, surge fees, delivery delays, app issues, and payment failures**.

The recovery strategy involves:

✓ **Product Fixes**

(ETA, search, app stability)

✓ **Operational Enhancements**

(delivery partner supply, restaurant availability)

✓ **Pricing & Promotion**

(temporary discounts, Swiggy One benefits)

✓ **Customer Experience Improvements**

(fewer complaints, fast refunds)